

MORNING BRIEFING

Friday, 15 May 2026 | Generated ~07:00 BST (London pre-open) | European markets open in approx. 1 hour | Data collected automatically — verify before acting

2. IMPORTANT NEWS

Xi warns Trump: Taiwan mishandling risks "great jeopardy" for US-China relationship — Day 2 of Beijing summit

[CNBC](#) / [Foreign Policy](#) / [Al Jazeera](#)

High-stakes superpower summit ongoing. New bilateral boards on economic and AI oversight agreed. Taiwan language signals limits of diplomatic thaw — risk asset headwind if talks break down.

US clears Nvidia H200 AI chip sales to 10 Chinese companies including Alibaba, Tencent, ByteDance — up to 75,000 chips per customer

[CNBC](#) / [TradingKey](#) / [Sherwood News](#)

Partial tech detente embedded in Trump-Xi summit. Nvidia +4.4% Thursday. Chinese buyers reportedly hesitating pending Beijing guidance; actual deliveries at zero. Key for AI capex cycle globally.

Cisco Q3 beats: revenue +12% YoY to ~\$15.9bn, EPS +37% — shares +13% after hours; 4,000 job cuts announced

[CNBC](#) / [Cisco IR](#)

Confirms AI-driven enterprise spending surge. Positive read-across for tech infrastructure names. Job cuts signals margin discipline alongside growth. S&P 500 and Nasdaq both closed at all-time records.

US April CPI 3.8% YoY (+0.6% MoM); PPI +1.4% MoM — hottest producer prices since early 2022

[BLS](#) / [Reuters](#) / [Bloomberg](#)

Iran-linked energy costs and shelter inflation driving persistence. Fed rate cuts repriced to late 2026 at earliest. DXY climbed to 98.6 (2-week high), US 10Y at 4.49%. Gold fell for second session.

Samsung Electronics: 45,000-worker strike to begin 21 May for 18 days — stock fell ~5% Wednesday

[Business Upturn](#) / [CNBC](#)

Largest strike threat in Samsung history. Supply chain disruption risk for memory chips (DRAM, NAND). Weighs on Kospi today alongside record-high correction. Broader Korea tech supply chain in focus.

3. EUROPEAN FUTURES — PRE-OPEN

INDEX	FUTURES LEVEL	EXPECTED MOVE	NOTES
Euro Stoxx 50	5,907	+0.8%	Intraday range 5,876-5,909; AI/tech bid
DAX	24,456	+1.3%	Pre-market indicated; Cisco/Nvidia read-across
CAC 40	n/a	+0.5% est.	Stoxx 600 futures +0.5% broadly
FTSE 100	10,373	+0.5%	Energy names support on Brent at \$107
S&P 500 (futs)	n/a	Context	S&P cash closed at record 7,501; futures n/a
Nasdaq (futs)	n/a	Context	Nasdaq cash closed at record 26,635; futures n/a

Futures signal a positive European open, driven by overnight tech strength (Cisco +13%, Nvidia +4.4%) and constructive Trump-Xi summit tone heading into Day 2. Asia weakness (Nikkei -1.6%, Kospi -3.3%) a partial offset. Brent at \$107 supports FTSE energy names.

4. YESTERDAY'S CLOSES — THURSDAY 14 MAY 2026

INDEX	CLOSE LEVEL	CHANGE	DRIVER
Euro Stoxx 50	5,931	+1.20%	Tech and media led; miners and banks lagged
Stoxx 600	n/a	+0.70%	Broad-based; UK-US trade, summit optimism
DAX	n/a	+0.76%	Industrial and tech names; Starmer UK news followed
CAC 40	n/a	+0.35%	Underperformed; domestic political caution
FTSE 100	n/a	+0.58%	Oil majors, miners partially offset banks

Note: Exact closing levels for DAX, CAC 40, FTSE 100 could not be confirmed from available sources at collection time. Changes confirmed via CNBC/RTTNews.

5. US MARKETS — THURSDAY 14 MAY 2026 SESSION

INDEX	CLOSE	CHANGE	NOTABLE
S&P 500	7,501.24	+0.80%	2nd straight all-time record close
Dow Jones	50,063.46	+0.70%	Retook 50,000 level; first close above since Iran war began
Nasdaq	26,635.22	+0.90%	All-time record; Cisco +13%, Nvidia +4.4% driving

Session tone: Strongly bullish. AI/tech drove the rally for a second straight session. Cisco Q3 earnings beat was the single largest positive catalyst. Nvidia surged on H200 China approval news. Boeing fell 3.8% after Trump's 200-jet announcement disappointed analysts expecting a larger order. Financials and energy were broadly flat. Cyclical divergence growing versus AI-adjacent names — dispersion is elevated.

6. ASIAN MARKETS — OVERNIGHT SESSION (15 MAY 2026)

INDEX	LEVEL	CHANGE	DRIVER
Nikkei 225	61,644.25	-1.61%	Risk-off; yen strength, summit uncertainty
Hang Seng	26,145.66	-0.90%	Taiwan tension from Xi remarks; tech mixed
Shanghai Composite	4,183.05	+0.10%	Marginal gain; domestic stimulus expectations
Kospi	n/a (hit record >8,000 intraday)	-3.30%	Record-to-reversal; Samsung -5% on strike news

Overall tone: Risk-off across most of Asia. Kospi hit an intraday record above 8,000 then reversed sharply on Samsung strike fears and Xi's Taiwan warning. Nikkei fell over 1% on profit-taking and a slightly firmer yen. Shanghai held near flat on domestic policy expectations. Trump wrapping up Beijing visit — communique expected later today.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	CONTEXT
Brent Crude	\$106.89/bbl	+1.11%	Iran war disruption; partial ceasefire has not fully normalised supply
WTI Crude	\$102.49/bbl	+1.31%	Brent/WTI spread ~\$4.4; US shale responding slowly
Gold	\$4,651.93/oz	-0.74%	Second straight session lower; DXY and real yields rising on hot CPI
Silver	~\$88.00/oz	+est.	2-month high; industrial demand outpacing gold; solar panel demand driver
Copper (LME)	n/a	n/a	Data not confirmed at collection time
Natural Gas (HH)	n/a	n/a	Data not confirmed at collection time

Brent at \$107 is the key macro variable. Iran partial ceasefire has allowed some oil flow but prices remain elevated, feeding US PPI/CPI. Any summit energy deal could move oil sharply. Gold under pressure from rising real yields — watch \$4,600 support.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE / NOTE
US 10Y Treasury	4.49%	Highest since July 2025 — hot CPI/PPI driving yields up; Fed on hold
German 10Y Bund	3.10%	Near highest since May 2011 — fiscal expansion + ECB pause widening term premium
EUR/USD	1.1700	DXY strength capping upside; dollar bid on inflation
GBP/USD	1.3510	Holding above 1.35 support; Starmer trade talks in focus
DXY (Dollar Index)	98.60	2-week high — CPI surprise + safe haven bid on summit uncertainty

US yields are at cycle highs on persistent inflation. The Bund at 3.1% reflects European fiscal expansion (German defence spending, EU borrowing) alongside ECB caution. EUR/USD holding above 1.17 despite dollar strength suggests market not pricing a sharp EUR leg down. GBP resilient at 1.35 pending UK trade news from Starmer.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (14 MAY 2026)

ISSUER	SIZE	MATURITY	SPREAD / COUPON	TIGHTENING
European Commission (NextGen EU)	€10bn	5th 2026 syndicated trx	n/a — confirmed issuance	n/a

Specific corporate / SSA / financial deals priced on 14 May 2026 not confirmed from available sources at collection time. Check IFR / GlobalCapital / Bloomberg syndicate screens for full deal log.

PIPELINE / EXPECTED THIS WEEK

European Commission plans €100bn in EU-Bonds by end-June 2026 (6 syndicated transactions, 6 auctions). Fifth tranche of €10bn priced 12 May. Sixth and final H1 tranche expected in June. Corporate and financial pipeline: strong issuance backdrop given equity highs and investor appetite for duration, but Bund at 3.1% compresses IG spread advantage. Specific mandated deals for today not confirmed from available sources.

KEY SPREADS

INDEX	LEVEL (BP)	MOVE	DIRECTION
iTraxx Main (5Y)	n/a	n/a	Real-time data unavailable
iTraxx Crossover (5Y)	n/a	n/a	Real-time data unavailable
CDX IG (5Y)	n/a	n/a	Real-time data unavailable
Avg EUR Corp IG Spread	n/a	n/a	Real-time data unavailable

iTraxx and CDX live spread levels require Bloomberg/ICE terminal access. Verify via Bloomberg ITRX or ICE screens before using in decisions.

COMMENTARY

The primary market window remains open, supported by European equities near record highs, tight risk sentiment out of the US session, and stable EUR/USD above 1.17. However, the German Bund at 3.1% is creating spread compression headwinds for EUR IG — new issues need meaningful NIP to attract demand at the long end. Elevated oil (Brent \$107) is positive for energy sector issuers but raises cost-of-carry concerns for industrial borrowers. Financials and SSA pipeline expected to dominate next week given the last week of May ahead of the June ECB meeting.

10. ECONOMIC CALENDAR — FRIDAY 15 MAY 2026

TIME (BST)	INDICATOR	CONSENSUS	IMPORTANCE
15:00	US Univ. of Michigan Consumer Sentiment — May Preliminary	~67.5 est.	HIGH
13:30	US Empire State Manufacturing Index — May	n/a	MEDIUM
All day	Eurozone: No major scheduled releases	—	LOW
All day	UK: No major scheduled releases	—	LOW

The week's major US data (CPI, PPI, retail sales) is already released. Today is a lighter data day. Michigan sentiment is the key print to watch — any further deterioration in inflation expectations embedded in the survey would reinforce the no-cut Fed view and keep the dollar bid. Flash PMIs are due next week (22 May).

11. CORPORATE EVENTS & EARNINGS

KEY EVENTS THIS WEEK (CONTEXT)

COMPANY	EVENT	STATUS
Cisco Systems (CSCO)	Q3 FY2026 Earnings	Beat — Rev +12%, EPS +37%, shares +13%
Siemens AG	Q2 FY2026 Earnings	This week — check IFR/Bloomberg for results
Allianz SE	Q1 2026 Earnings	This week — results due
Bayer AG	Q1 2026 Earnings	This week — legal overhang ongoing
Vodafone Group	FY2026 Full Year Results	This week — restructuring progress in focus
Deutsche Telekom	Q1 2026 Earnings	This week — T-Mobile US growth driver
Applied Materials (AMAT)	Q2 FY2026 Earnings	This week — semicon equipment demand

TODAY (15 MAY 2026)

98 earnings reports scheduled globally (lighter day vs. 173 on Thursday). Main focus is on US after-hours digestion of Cisco results. S&P 500 Q1 EPS growth tracking +27.1% YoY — highest since Q4 2021 (FactSet). European corporate calendar is thin on Friday. Watch for any AGM statements or analyst day events from major industrials, transport, or defence names.

12. STOCKS TO WATCH

COMPANY	TICKER	REASON	DIRECTION
Nvidia	NVDA	H200 China approval for 10 firms; actual deliveries at zero — gap between approval and shipments. Jensen Huang at Beijing summit.	WATCH UP
Cisco Systems	CSCO	+13% after-hours on Q3 beat; AI infrastructure demand confirmed. 4,000 job cuts. Expect strong open — profit-taking risk after gap.	UP (gap risk)
Boeing	BA	Trump announced China buying 200 jets — analysts expected more. Shares -3.8% Thursday. Sentiment fragile; any revision to order size is key.	DOWN
Samsung Electronics	005930 KS	45,000-worker strike from 21 May for 18 days. Stock -5% on announcement. Kospi reversal adds pressure. Memory chip supply risk for DRAM/NAND.	DOWN
Shell / BP / TotalEnergies	SHEL / BP / TTE	Brent at \$107 (+1.1%). Iran ceasefire partial and fragile. FTSE energy names up on oil; summit energy chapter could shift crude.	UP
Bayer AG	BAYN GR	Q1 earnings this week. Legal overhang from Roundup litigation. Any settlement update or earnings surprise moves the stock significantly.	WATCH
Applied Materials	AMAT	Q2 earnings this week. Nvidia H200 China approval is a positive read-across for semicon equipment. WFE spend trajectory in focus.	WATCH UP
Vodafone Group	VOD LN	Full year results this week. Network infrastructure asset monetisation and cost restructuring progress; dividend sustainability in focus.	WATCH

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

1. US CPI 3.8% YoY — Fed on hold through summer. April CPI printed 3.8% YoY (+0.6% MoM), PPI +1.4% MoM (fastest since early 2022). Shelter and energy driving persistence. Fed rate cuts repriced to late 2026 at earliest. US 10Y at 4.49%, highest since July 2025.

2. German Bund at 3.1% — European fiscal premium rising. Near highest level since May 2011. Driven by German defence spending expansion, EU fiscal loosening and ECB's cautious pause (last decision 30 April). ECB June 11 meeting is the next major catalyst for Bund direction.

3. Brent at \$107 — Iran-linked energy inflation embedded. Partial US-Iran ceasefire has not normalised Strait of Hormuz flows. Energy inflation feeding into CPI globally. Summit may include energy chapter; watch for any announcement on Iran oil access.

CORPORATE

1. Cisco confirms AI enterprise demand super-cycle. Q3 revenue +12% YoY. AI networking infrastructure demand accelerating across data centres. Positive read-across for Juniper, Arista, Palo Alto Networks.

2. Nvidia H200 China approval — breakthrough with asterisk. US Commerce approved 10 Chinese buyers. But zero actual deliveries — buyers await Beijing guidance, pivot to domestic Huawei alternatives. The approval is a diplomatic signal more than an immediate revenue event for Nvidia.

3. S&P 500 Q1 EPS tracking +27.1% — earnings season effectively over. Highest growth rate since Q4 2021. AI-adjacent sectors (semicon, software, cloud) drove bulk of outperformance. Cyclical (autos, retail) lagging as higher rates and energy costs bite.

POLITICAL / GEOPOLITICAL

1. Trump-Xi summit — Day 2 communique expected today. Framework agreements on bilateral economic boards, AI oversight, limited chip access. Xi's Taiwan remarks are the session's key tail risk. A sharp deterioration in summit tone would hit Asia tech, semiconductors and risk assets broadly.

2. Boeing-China jet deal as diplomatic currency. 200 aircraft (fewer than market hoped). Deal signals goodwill but underwhelms commercially. Boeing shares -3.8% Thursday. If revised upward in communique, stock could recover sharply.

3. Samsung strike: Korean supply chain risk from 21 May. 45,000 workers in an 18-day stoppage threatens memory chip output. DRAM and NAND spot pricing could spike if production is meaningfully disrupted. Watch SK Hynix as beneficiary.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

- 1 Trump-Xi summit communique.** Final language on Taiwan, Boeing order size, chip access and trade tariffs will drive afternoon session direction across tech and risk assets.
 - 2 Michigan consumer sentiment (15:00 BST).** Key watch for embedded inflation expectations — a lower print extends the no-cut Fed narrative and pushes DXY higher, pressuring EUR/USD and gold.
 - 3 Cisco and Nvidia gap opens.** Both stocks expected to gap higher at US open. Magnitude and follow-through set the AI trade tone for the week's close and signal institutional conviction.
 - 4 Kospi and Samsung stability.** Korean market reversal from record high (-3.3%) — whether Samsung holds or tests new lows signals whether the strike fear is being priced in fully. SK Hynix and Asian memory sector in focus.
 - 5 Brent at \$107 — any Iran update.** Summit may include an energy chapter. Any progress on Iranian oil flows could cut \$5-10/bbl from Brent quickly, relieving inflation pressure and rotating out of energy stocks.
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THIS WEEK'S TOP 5

- 1 US-China summit framework (13-15 May).** Tariff rollback, chip access, Boeing deal and bilateral oversight boards redefine bilateral trade terms — biggest geopolitical event of Q2 2026.
 - 2 Q1 earnings season conclusion.** S&P 500 Q1 EPS +27.1% — AI capex cycle confirmed. Cisco, Applied Materials and Nvidia outcomes this week cement the narrative heading into Q2 guidance season.
 - 3 US inflation data (CPI 3.8%, PPI +1.4%).** Fed rate cut expectations collapse — June cut off the table; September uncertain. Yield curve, dollar and equity valuations all repricing accordingly.
 - 4 Asian equity cycle at inflection.** Nikkei near 62,000, Kospi hit record above 8,000 — both correcting Friday. Whether these record levels hold determines whether Asia bull run has legs into H2 2026.
 - 5 European Commission €100bn bond program H1 close.** Fifth tranche done; sixth and final H1 tranche expected in June. Supply overhang manageable, but Bund at 3.1% raises the bar for SSA spread tightening.
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THIS MONTH'S TOP 5

- 1 ECB June 11 rate decision.** Bund at 3.1% is pricing elevated risk premium. If ECB signals a hold or hawkish shift, EUR IG spreads widen and European equity multiple contracts — key for DCM and rates.
- 2 US debt ceiling — August X-date approaching.** Political negotiation intensifying. Treasury extraordinary measures in use. Risk premium building in US 3M bills; failure to raise ceiling is a systemic tail risk.
- 3 Samsung strike (21 May-7 June).** 18-day work stoppage by 45,000 workers. If not resolved, DRAM/NAND spot prices spike, affecting cloud capex budgets and downstream tech margins globally.
- 4 Nvidia H200 actual China shipments.** Approvals in place but zero deliveries. When and whether Chinese tech giants (Alibaba, Tencent) place orders determines the Q3 revenue outlook for Nvidia and its supply chain.
- 5 Iran ceasefire / oil normalisation.** Partial ceasefire has not restored supply. A durable deal could cut Brent \$5–10/bbl, reduce US CPI materially, and open the door to a September Fed cut — the single largest macro swing factor for May-June.

15. KEY TRENDS TO WATCH

1 DAY — TODAY'S SESSION

- Trump-Xi communique release (expected afternoon Beijing time, ~09:00–10:00 BST): final language on Taiwan, tariffs, Boeing and chips is the single biggest risk event today.
- Michigan Consumer Sentiment (15:00 BST): watch inflation expectations sub-index — a rise would extend the "higher for longer" dollar trade.
- Cisco and Nvidia gap open: tech tone at US open (14:30 BST) determines whether Europe holds pre-open gains through the afternoon.
- Oil reaction: summit energy chapter or any Iran update could sharply move Brent from \$107 and rotate energy vs. tech positioning.

1 WEEK — WEEK AHEAD (18-22 MAY)

- Flash PMIs due 22 May: Germany, Eurozone, UK, US — first May growth signal; could shift ECB and Fed rate path expectations.
- Samsung strike begins 21 May: whether union and management reach a last-minute deal will be the key Korean market event.
- ECB speakers: post-April hold, market looking for June guidance signals from Lagarde, Lane or Schnabel this week.
- US debt ceiling: Treasury briefings expected; Congressional negotiation calendar in focus as August X-date approaches.

1 MONTH — MAY-JUNE OUTLOOK

- ECB June 11 rate decision: hold or cut — Bund direction, EUR IG spread trajectory and European equity re-rating all depend on this.
- US CPI May release (10 June): determines whether April's 3.8% was a ceiling or a floor; shapes FOMC July meeting probabilities.
- Nvidia H200 China ramp: actual purchase orders from Alibaba, Tencent and ByteDance mark the inflection for AI revenue recognition in Q3 — key for semicon and cloud capex globally.
- Iran oil talks: a durable ceasefire or sanctions deal would be the largest single macro shock, materially cutting Brent and US inflation simultaneously.

Sources: CNBC, Reuters, Bloomberg, TheStreet, Yahoo Finance, RTTNews, US News, Foreign Policy, Al Jazeera, CNBC Asia, BLS (CPI/PPI), Invezz (Retail Sales), TradingKey, Sherwood News, Dukascopy, MarketPulse (OANDA), FXEmpire, EIA, Fortune, Business Upturn, Fox Business, FactSet, European Commission, Morningstar, ION Analytics, KARE11/AP.

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